

Variable Compensation & Quarterly Bonus Matrix

FY 2026 Guidelines for EBITDA Funding Pools, Sales Incentives, and Individual Performance Multipliers

Section 1: Variable Compensation Program Governance

The variable incentive plan rewards performance by sharing corporate success across three programs: the Quarterly Bonus Pool (all eligible employees), the Sales Incentive Plan (quota-carrying roles), and the Spot Recognition Award (manager-nominated, any time of year). Incentive pools are funded based on audited financial performance verified by external auditors following quarterly close.

Section 2: Quarterly Bonus Disbursement Schedule

Incentive bonuses are calculated and paid out on strict quarterly schedules:

- **Q1 Bonus (Jan 1 - Mar 31):** Disbursed May 15
- **Q2 Bonus (Apr 1 - Jun 30):** Disbursed August 15
- **Q3 Bonus (Jul 1 - Sep 30):** Disbursed November 15
- **Q4 Bonus (Oct 1 - Dec 31):** Disbursed February 15 of the following year

Section 3: Corporate EBITDA & Rating Multipliers

Final bonus payout is calculated using the formula: Final Payout = Target Bonus x Corporate EBITDA Multiplier x Performance Multiplier.

Corporate EBITDA Achievement	EBITDA Multiplier	Individual Performance Rating	Rating Multiplier
< 85% of Target	0.0x (No Pool)	Rating 1.0 - 2.0	0.0x (Zero Payout)
85% - 99% of Target	0.8x	Rating 3.0 (Meets Standards)	1.0x
100% - 110% of Target	1.0x	Rating 4.0 (Exceeds Standards)	1.25x
> 110% of Target	1.3x (Cap)	Rating 5.0 (Outstanding)	1.50x

Section 4: Numerical Worked Case Study

Case Study Example: Senior Specialist (Grade L3) with a base target bonus of \$10,000 USD.
If Corporate EBITDA reaches 105% (1.0x multiplier) and the employee achieves a Rating 4.0 (1.25x multiplier):
Payout = \$10,000 x 1.0 x 1.25 = \$12,500 USD gross.

Section 5: Sales Incentive Plan (Quota-Carrying Roles)

Sales roles are excluded from the standard quarterly bonus pool and instead earn commission under the Sales Incentive Plan: a base commission rate of 8% of closed net-new revenue up to 100% of quota, accelerating to 12% for revenue between 100-150% of quota, and 15% for revenue above 150% of quota. Commission is paid the month following invoice collection, not at deal signature.

Section 6: Spot Recognition Awards & Referral Bonuses

- **Spot Award:** Any manager may nominate an employee for exceptional, time-bound contribution; awards of \$250-\$1,000 USD are approved by the manager's own manager and paid within 30 days.

- **Employee Referral Bonus:** \$2,000 USD for a successful referral hired into a standard role, \$4,000 USD for a hard-to-fill technical or executive role, paid 50% at the new hire's 90-day mark and 50% at the 6-month mark.

Section 7: Proration Rules for Mid-Cycle Joiners & Leavers

Employees who join mid-quarter are eligible for a prorated bonus based on the number of complete calendar days employed during the quarter, provided they were active on the payroll for at least 30 days of that quarter. Employees who resign before the disbursement date forfeit any unpaid bonus for completed quarters unless local law requires otherwise; employees terminated without cause remain eligible for bonus earned through their last working day, paid on the standard quarterly schedule.

Section 8: Bonus Clawback Conditions

The company reserves the right to claw back a paid bonus, in whole or in part, in cases of confirmed financial restatement caused by employee misconduct, a finding of fraud connected to the metrics used to calculate the payout, or termination for cause within 90 days of disbursement where the cause relates directly to the performance being rewarded. Clawback determinations are made by the Executive Compensation Committee and communicated in writing with the specific basis for the decision.

Section 9: Long-Term Incentive (Equity) Overview

Grade L4 and above employees may additionally receive Restricted Stock Units (RSUs) as part of total compensation, vesting over 4 years with a 1-year cliff (25% at month 12, then ratably monthly thereafter). Equity grants are approved by the Board Compensation Committee annually and are governed by the separate Equity Incentive Plan document, not by this bonus matrix.

Section 10: Department Funding Pool Allocation

The company-wide bonus pool, once set by the EBITDA multiplier, is allocated to departments in proportion to each department's contribution to the achieved EBITDA and headcount-weighted target bonus exposure. Department heads may not reallocate more than 10% of their pool across sub-teams without Finance Business Partner sign-off, ensuring the individual performance-rating multipliers remain the primary driver of individual payout rather than manager discretion.

Section 11: Tax Withholding on Bonus Payments

Bonus payments are subject to statutory withholding at the applicable marginal tax rate for supplemental wages in the employee's jurisdiction, which may differ from the withholding rate applied to regular salary. Employees anticipating a large bonus payout are encouraged to review their annual withholding elections with Payroll ahead of the disbursement date to avoid under- or over-withholding at year-end.

Section 12: Communication of Individual Payout Details

Individual bonus statements, including the target bonus, applied EBITDA multiplier, applied rating multiplier, and resulting gross payout, are published to each employee's payslip portal at least 5 business days before the disbursement date so that questions can be routed to the HRBP before the payment is processed rather than after. Managers are briefed on their team's aggregate payout the week prior so they can field questions from direct reports with full context.

Section 13: Leave-of-Absence & Disability Impact on Bonus Eligibility

Employees on approved paid leave (including maternity, paternity, or short-term disability) remain fully eligible for the quarterly bonus pool at their full target amount, unaffected by the leave; the leave period is treated as active service for bonus-eligibility purposes. Employees on approved unpaid leave exceeding 30 consecutive days in a quarter have that quarter's bonus prorated based on active days worked, consistent with the mid-cycle joiner/leaver proration described in Section 7.

Disputes about proration calculations are resolved by Payroll in consultation with the HRBP, with a written explanation of the calculation provided to the employee within 10 business days of the dispute being raised.